

# [PART - 2] Why Is PPFAS Repeatedly Buying CMS Infosystems When Everyone thinks Cash Is Dying?

#19 : PPFAS isn't buying a declining cash business; it may be betting on industry consolidation, sticky banking contracts, and CMS's evolution into an AI-enabled infrastructure platform beyond ATMs.



THE LOGGICAL INVESTOR

APR 24, 2026



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## Before we begin Part 2... A quick recap

In Part 1 of our CMS Info Systems deep dive, we built the foundation of this thesis by answering some of the most important structural questions:

1. *How did AGS Transact Technologies go from a ₹1,300 crore market cap company to insolvency?*
2. *What were the four fundamental reasons behind AGS's collapse, and is CMS making any similar mistakes?*
3. *How did AGS's fall trigger a chain reaction across the industry, and how is the market structure reshaping now?*
4. *With the industry consolidating faster, why could CMS emerge as the primary beneficiary?*
5. *What does the detailed business model and operational KPI framework of CMS look like, and how does the company actually make money?*

6. And finally, why did CMS deliver a weak FY26 performance despite the structural opportunity?

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If you haven't read Part 1 yet, I'd strongly recommend going through it before continuing. It sets the fundamental base of the entire thesis, and Part 2 will make much more sense once that context is clear.

*You can find the link to Part 1 below* 📌 📌

## [PART -1] Why Is PPFAS Repeatedly Buying CMS Infosystems When Everyone thinks Cash Is Dying?

THE INVESTOR LENS 🔍 • 18 APR



The stock that looks broken, but smart money keeps buying

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And now, with the groundwork in place, let's move straight into the Q3 FY26 financial performance, before building the structural investment thesis, decoding the historical EV/EBITDA-based valuation framework across bull, base, and median scenarios, and finally closing with the key risks and challenges.

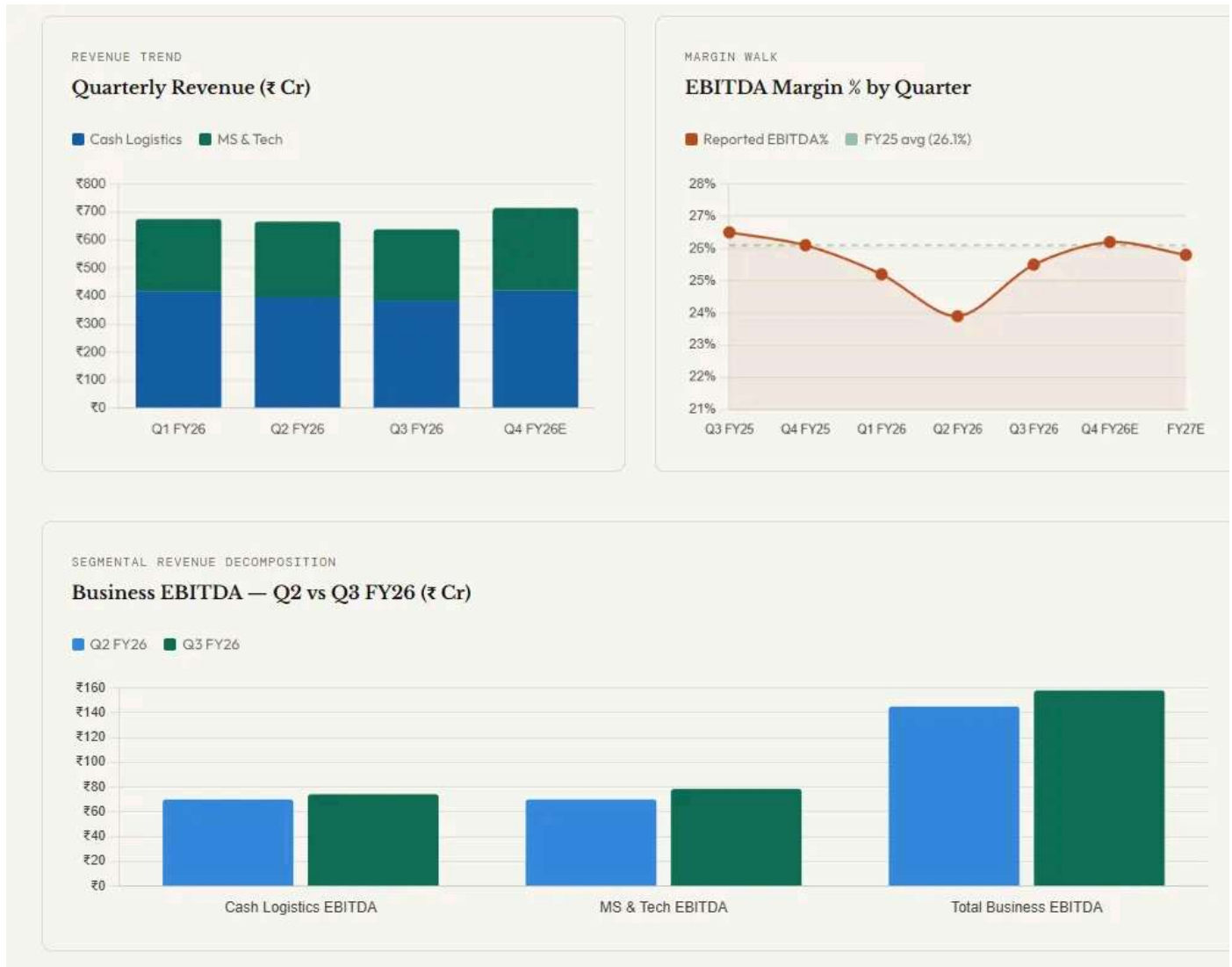
# IX. Q3FY26 Financials — Sign Of Recovery ?

Management commentary for Q3 FY26 explains that CMS has **clearly bottomed out** and is now on a **good positive trend**, successfully transitioning away from macro and industry challenges faced in the first half of the fiscal year FY26. Be are the key details of the Q3 FY26 performance and the indicators of recovery:

1. **Revenue:** ₹618 Cr, +1.6% QoQ; service revenue +4% QoQ.
2. **Margins:** EBITDA up 160 bps to 25.5%, showing improved efficiency.
3. **Segment Growth:** Managed Services & Technology +18% QoQ (₹216 Cr → ₹254 Cr).
4. **Core Profit:** Adjusted PBT up sequentially despite a one-time labor code provision of ₹11.1 Cr.

| Financial Snapshot: Where We Stand                                                                      |                                                                                            |                                                                                   |                                                                                                 |
|---------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <b>Q3 FY26 REVENUE</b><br><b>₹618 Cr</b><br><small>+1.6% QoQ: Bottoming out</small>                     | <b>Q3 EBITDA MARGIN</b><br><b>25.5%</b><br><small>+160 bps QoQ recovery</small>            | <b>H1 FY26 PAT</b><br><b>₹167 Cr</b><br><small>vs ₹182 Cr H1 FY25 (~8%)</small>   | <b>CASH ON BOOKS (DEC'25)</b><br><b>₹600 Cr</b><br><small>Strong fortress balance sheet</small> |
| <b>ORDER BOOK (FY26 YTD)</b><br><b>₹1,600 Cr+</b><br><small>High-quality, fixed-price contracts</small> | <b>HAWKAI SITES (TARGET)</b><br><b>50,000+</b><br><small>From 30,000 at FY26 start</small> | <b>ATMS UNDER MGMT</b><br><b>70,000</b><br><small>Target 74-75K by Mar'26</small> | <b>5-YR OCF / EBITDA</b><br><b>~70%</b><br><small>H2-weighted, historically strong</small>      |

Q3 FY26 financial performance clearly shows that the earnings recovery is (just compare Q2 vs Q3 EBITDA in the infographic below). Revenue, margins, tech-enabled services are all improving — setting a strong base for FY27 growth



## X. The Investment Thesis : Six Structural Pillars

The bear case on CMS is mixing up short-term issues with long-term real Problems like rural slowdown, AGS disruption, and one delayed RFP are cyclical. They are temporary. But the market is treating them like permanent damage. '

structural picture is actually unchanged — and in some areas, stronger than months ago.

## 01. PSU ATM outsourcing — long runway ahead

The PSU bank ATM outsourcing opportunity remains significantly underpenetrated, creating a large multi-year runway for CMS.

The State Bank of India (SBI) contract highlights the scale of this opportunity. The RFP covered around 10,000 ATMs with a total value of approximately ₹1,000 crore over 10 years. CMS secured nearly 5,000 ATMs, translating to about ₹500 crore incremental revenue over the contract period.

More importantly, this deal sets a strong benchmark. As the country's largest PSB bank, SBI's decision to outsource establishes a clear precedent, increasing the likelihood that other PSU banks will follow a similar path.

A substantial portion of the PSU ATM network in India is still not outsourced. This creates a sizable 'refresh pipeline,' where banks are expected to replace or upgrade existing ATMs through outsourcing-led models. These contracts are typically long-term and fixed-price in nature, making them attractive from both revenue visibility and margin stability perspectives.

Importantly, PSU banks continue to maintain their ATM networks, unlike private banks that are rationalizing off-site locations. Recent tenders, including one for ~4,500 ATMs, indicate that expansion— not just replacement— is also underway. Looking ahead, around 3 large RFPs are expected over the next 6–9 months, reinforcing near-term visibility.

Overall, this is not a one-time opportunity but a sustained, multi-year outsourcing cycle. CMS, already established as an incumbent player, is well positioned to capture a meaningful share of this opportunity.

## 02. HAWKAI — fast-growing tech layer

Built post-IPO, HAWKAI has already scaled from zero to nearly ₹100 crore A within just three years, and management expects this to move closer to the ₹ crore run-rate by FY26.

The platform has also expanded rapidly on the ground: from ~30,000 sites at start of FY26 to 50,000+ sites expected by year-end.

This scale-up is important because HAWKAI is no longer just an experimental tech layer — it is becoming a meaningful revenue driver inside the Tech Payments segment, which itself is expected to grow from ₹235 crore to ₹400 crore by FY27 representing a 30% CAGR growth.

CMS has already built a strong reference case here by winning a 2,000-branch PSU bank surveillance transformation project, which could significantly improve its credibility in future FY27 branch monitoring bids.



The bigger opportunity, however, still lies ahead.

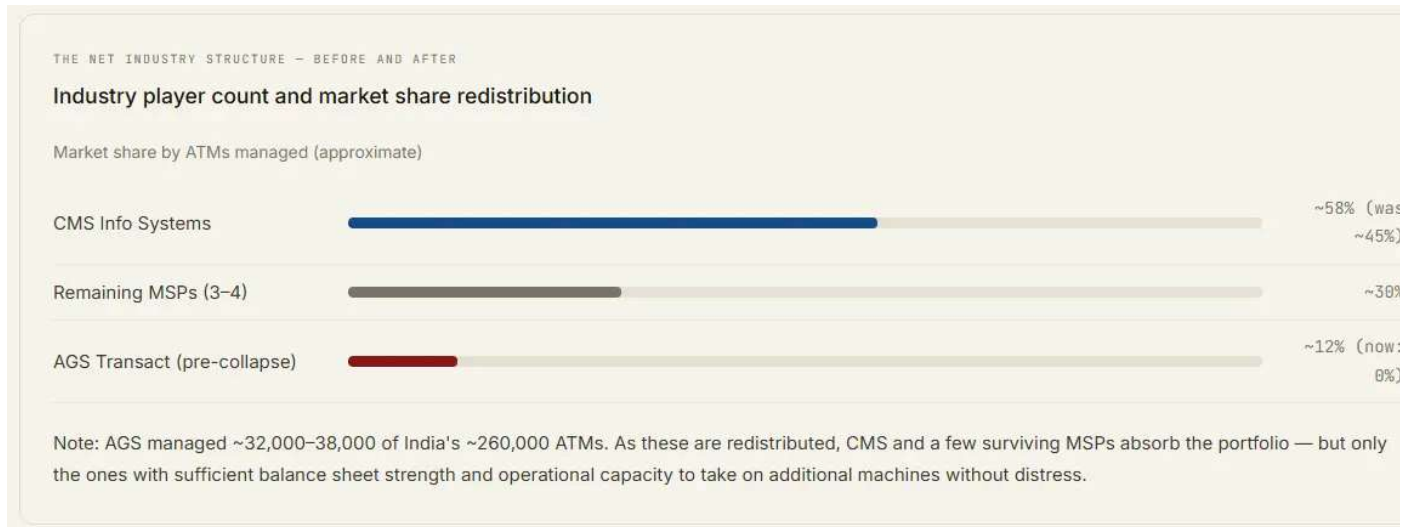
A major structural trigger is the AI-led surveillance transformation of branches. Management is already seeing 35,000+ branches moving toward RFPs, translating into an industry opportunity of ₹3,000 crore+ over time.

*On top of that, CMS is aiming to expand beyond banks into areas like quick-commerce dark stores and NBFCs, which adds optional growth. Since this is a software business, incremental costs are low, which means margins improve as it scales.*

### 03. Industry consolidation — Market share gains

After AGS exited, the market structure is changing.

Earlier there were around 6–8 ATM MSP players. This is now expected to reduce to about 3–4 players over time. CMS is already acting on this. It has signed a term sheet to acquire another MSP's ATM business for around ₹100–125 crore.



As competition reduces, pricing power improves. Over time, this leads to better contract terms and higher market share for stronger players like CMS. What looks like short-term disruption is actually long-term revenue shifting towards stronger companies.

## 04. Recycler shift — Better economics, more stability

Banks are moving away from off-site ATMs to recycler machines inside branches. CMS has experience here, having deployed recyclers as early as 2014 with SBI.

(To understand about traditional ATMs V/S cash Recycler - [Click Here.](#))

Recycler contracts are more valuable. They involve higher complexity, which allows higher fixed monthly fees. At the same time, the shift from transaction-based pricing to fixed-price contracts improves revenue visibility and reduces volatility.

ICICI Bank is already becoming a large customer in this transition.



## 05 — Near-Term Catalysts & Re-Rating Triggers

Q4 FY26 (Jan-Mar 2026)

### SBI Contract Go-Live

₹500 Cr incremental / 10 yr contract activates. First revenue visibility on India's largest bank outsourcing. Massive PSU reference for others.

Mar 2026

### MSP Acquisition Closure

₹100-125 Cr deal to acquire ATM management solutions business. Immediate ATM count addition, market consolidation signal.

H1 FY27

### 3 Large Bank RFPs Conclude

Private + PSU bank RFPs across both sectors expected to close. Each win adds visibility to FY27 and FY28 revenue.

FY27

### HAWKAI Branch RFP Wins

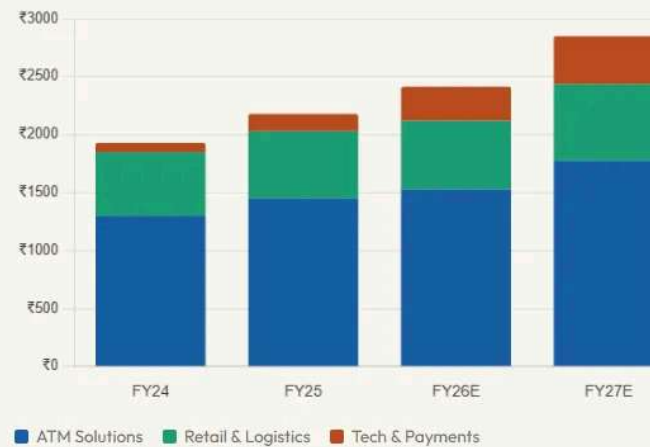
35,000 bank branch monitoring RFPs being formulated. ₹3,000 Cr industry opportunity. CMS HAWKAI is first mover with large live deployment.

FY27

### DSO Normalisation + OCF Surge

Historically 70% of annual OCF comes in H2. With DSOs now being fixed, FY27 cash generation should be strong — enabling M&A + dividends/buybacks.

REVENUE MIX EVOLUTION



## 05. Direct-to-retail cash logistics — long-term optionality

CMS has built a new direct-to-retail business from scratch. It now has around 500,000 clients, compared to almost zero in FY22.

The addressable market itself is growing — from about 200,000 retail points to 500,000 outsourced retail points. The company is also using a GIG model, which already covers around 20% of retail points with 2,000+ partners. This helps convert fixed costs into variable costs.

*There is also cross-selling potential — CMS can offer HAWKAI, cash management, vault services to the same clients, increasing revenue per customer.*

## o6 Capital allocation — strong balance sheet

CMS has around ₹600 crore of cash and zero debt.

The business generates strong returns, with around 25% ROCE. In FY management did not take performance bonuses or ESOPs, which shows strong alignment with shareholders during a tough year. There is also active discussion around capital return, including buybacks. At the same time, the company is deploying capital into growth:

- Securens acquisition (~₹70 crore, Vision AI)
- MSP acquisition (~₹100–125 crore)
- Additional deals in the pipeline

So the company has both financial strength and clear capital allocation intent.

**The key point is simple :** The near-term pain is visible in margins and numbers. But structurally, the business is improving — stronger contracts, fewer competitors, new growth optionality's, and a solid balance sheet.

The market is focusing on what is temporary, and missing what is changing underneath.

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# XI. FY27 Revenue Bridge and P&L Scenarios

FY26 marked the trough — a perfect storm of multiple headwinds hit simultaneously: delayed PSU RFPs, fallout from the AGS Transact Technology disruption, wage inflation, and softness in rural consumption. The market interpreted this as a structural impairment. It is not.

The underlying drivers remain firmly intact — PSU outsourcing is still in early innings, private banks are entering a recycler refresh cycle, HAWKAI continues to scale at ~30% CAGR, and industry consolidation is strengthening incumbents CMS.

The more interesting story begins in FY27.

Management is guiding for total revenue of ₹2,800–2,900 crore. Within this:

1. **Services revenue**, the core driver, is expected at ₹2,700–2,800 crore, implying ~15–19% growth.
2. **Product revenue** is modest at ~₹100 crore, largely hardware-linked and non-core.

There is strong visibility underpinning this guidance. Management has ~90% confidence in achieving a Q4 services run-rate of ₹650 crore, which annualizes to ~₹2,600 crore. Incremental growth during the year bridges the gap to the guidance range.

On profitability, EBITDA margins are expected to recover to 25–26% in FY27, normalizing after the FY26 dip driven by wage inflation, higher fleet costs,

elevated provisions.

In essence, FY26 was cyclical compression —FY27 sets up as a normalization y with operating leverage kicking back in. Here is the FY27 build-up (as conservative assumptions & my own understanding).

| COMPONENT                          | ₹ CR CONTRIBUTION | DRIVER                                               |
|------------------------------------|-------------------|------------------------------------------------------|
| Q3 FY26 services run-rate × 4      | ₹2,308 Cr         | Base annualisation (₹577 Cr × 4)                     |
| SBI contract full ramp (Q4 live)   | +₹50 Cr           | ₹500 Cr / 10yr = ~₹50 Cr/yr incremental              |
| ICICI + India Post Payment Bank    | +₹75 Cr           | ₹750 Cr order book, 75% live → full-year             |
| HAWKAI growth (₹235→₹400 Cr)       | +₹165 Cr          | 30% CAGR; new non-BFSI + branch RFPs                 |
| Retail recovery (GST 2.0 tailwind) | +₹60 Cr           | Same-store volumes +20% Oct; 12% growth target       |
| ATM pricing improvement (+6%)      | +₹50 Cr           | Fixed-price contract mix + BLA pricing discipline    |
| MSP acquisition contribution       | +₹30 Cr           | ATM MSP deal closing by Mar'26, partial-year benefit |
| Product/hardware revenue           | +₹100 Cr          | ~7–8% of overall; timing-dependent                   |
| <b>FY27 Total Revenue Estimate</b> | <b>~₹2,838 Cr</b> | <b>Consistent with management guidance range</b>     |

| KEY MODEL ASSUMPTIONS |                             |                        |
|-----------------------|-----------------------------|------------------------|
| FY27 EBITDA Margin    | Services revenue growth YoY | HAWKAI revenue FY27    |
| <b>25–26%</b>         | <b>~19%</b>                 | <b>₹400 Cr</b>         |
| ATM count by Mar'26   | ECL provision normalisation | Capex FY26 (full year) |
| <b>74–75K</b>         | <b>~4% rev</b>              | <b>₹300–325 Cr</b>     |

## Valuation Analysis — EV/EBITDA Method

CMS is a blended business — part cash logistics, part managed services, and a growing tech layer through HAWKAI. So the valuation multiple should reflect the mix. You cannot apply a high tech multiple to the entire company just because one segment is growing fast.

If you look at history, the range is quite clear.

After IPO, the stock traded at around 13X-15X EV/EBITDA due to High market share and premium positioning. During a strong earnings cycle in FY24, it stayed in the 12X-14X range as growth and margins were both strong. In a normal, stable period, the stock has typically traded at 10X-12X.

| PERIOD / CONDITION               | EV/EBITDA | P/E    | WHAT DROVE IT                                                     | TAG                   |
|----------------------------------|-----------|--------|-------------------------------------------------------------------|-----------------------|
| Post-IPO Re-rating (FY22-FY23)   | 13-15×    | 28-32× | IPO premium, market optimism, growth optionality priced in        | Historical peak       |
| Strong earnings cycle (FY24)     | 12-14×    | 24-28× | Revenue growth, margin expansion, market share gains — all firing | Historical good cycle |
| Normalised / stable period       | 10-12×    | 20-24× | Base earnings delivery, no outperformance / no miss               | Historical mean       |
| FY26 trough (current)            | 7-9×      | 14-18× | Earnings miss, margin contraction, RFP delays, AGS fallout        | Current trough        |
| <b>Bear FY27 target multiple</b> | 8×        | ~18×   | Execution continues to disappoint; no re-rating catalyst fires    |                       |
| <b>Base FY27 target multiple</b> | 11×       | ~22×   | Recovery plays out; margin normalises; market returns to mean     |                       |
| <b>Bull FY27 target multiple</b> | 14×       | ~27×   | HAWKAI RFP wins; full ATM ramp; market re-rates toward peak       |                       |

Right now, in FY26, it is in a trough at around 6X-7X because of margin pressure, delayed RFPs, and AGS-related disruption.

## Why the multiple cannot go beyond ~14X-16X ?

The core of CMS is still cash logistics, which contributes roughly 50–55% revenue.

This is not a high-growth business. It grows at around 8–10%, is capital-intensive and operationally heavy. Even if HAWKAI grows at 30%+ CAGR, it will still only around 12–15% of total revenue by FY27. So the company will continue to be valued as a blended business.

A pure-play HAWKAI-type business might deserve 25x–30x, but CMS is not that. The market will not value the entire company based on its best segment. For a higher multiple to sustain, HAWKAI needs to become a much larger part of the business, closer to 25–30% of revenue, with clear margin contribution.

Till then, ~14x–16x is a reasonable upper limit even in a strong bull case.

## ▶ ▶ IMPORTANT ANNOUNCEMENT ▶

*I've officially started my mentorship community.* The full announcement will be going live later this month on the blog—but I'm opening the doors early for those who want to get in now. If you're seriously interested in joining, you can

- Send me an email at ***thelogicalinvestor.business@gmail.com*** or
- Reach out directly on X / Substack DM (details mentioned above)

Message The Loggical Investor

Just include a brief introduction about yourself along with your current investing framework. From there, we can take the conversation forward via email or chat. *That's all for now. More soon - when the time's right.*

# XII. Valuation Framework : Bull base and Median scenario analysis...

CMS is currently trading below its historical average multiples (~Med EV/EBITDA -10.4 ) because FY26 has been a weak year. Margins have contracted, execution has been delayed, and the AGS situation created temporary disruption.

If FY26 is the trough, then FY27 should show recovery — both in revenue and margins. That is where some re-rating can happen.

Below table presents the **bull, median, and base scenario analysis** for FY FY28, based on management guidance and our own research. It incorporates revenue, services vs product mix, and EBITDA margin expectations under different scenarios to illustrate the potential upside and downside.



## Valuation Framework : Scenario Analysis (FY27–FY28 Scenarios)

| Scenario             | Revenue         | EBITDA Margin | EBITDA      | EV/EBITDA | Implied Market Cap | Notes (What this implies / drivers)                                                                                                                                                               |
|----------------------|-----------------|---------------|-------------|-----------|--------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bear (FY27)</b>   | ₹2,600 Cr       | 24%           | ₹624 Cr     | 8X        | ₹4,900–5,100 Cr    | Slow recovery. RFP delays continue, weak retail, limited ATM additions. Margins improve slightly but stay below historical average. No strong HAWKAI contribution.                                |
| <b>Base (FY27)</b>   | ₹2,800 Cr       | 25.5%         | ₹714 Cr     | 11X       | ₹7,800–8,000 Cr    | Normal recovery. SBI ramp-up + so PSU wins. Margins revert to mean. HAWKAI grows steadily but not a driver yet.                                                                                   |
| <b>Bull (FY27)</b>   | ₹2,900 Cr       | 26.5%         | ₹769 Cr     | 14X       | ₹10,700–10,900 Cr  | Strong execution. Faster ATM ramp better contract mix, early HAWKAI v Operating leverage starts showing.                                                                                          |
| <b>Upside (FY28)</b> | ₹3,100–3,200 Cr | 27–28%        | ₹840–900 Cr | 13X–15X   | ₹11,000–13,500 Cr  | Full benefit phase. HAWKAI scales meaningfully, M&A adds growth, A transition complete. Better mix drives margin expansion. Re-rating supported by improved business quality, not just narrative. |

### Bear case (execution disappoints)

Revenue is assumed at around ₹2,600 crore with EBITDA margins of ~24% leading to EBITDA of roughly ₹624 crore.

If the market remains cautious and no major trigger plays out, the stock may trade at around 8X EV/EBITDA. This implies a market cap of roughly ₹4,900–5,100 crore, giving a potential upside of ~6–10% from the current ₹4,631 crore. The bear scenario assumes slow recovery, RFP delays, weak retail demand, and minimal meaningful contribution from HAWKAI. Margins improve slightly but remain below historical averages.

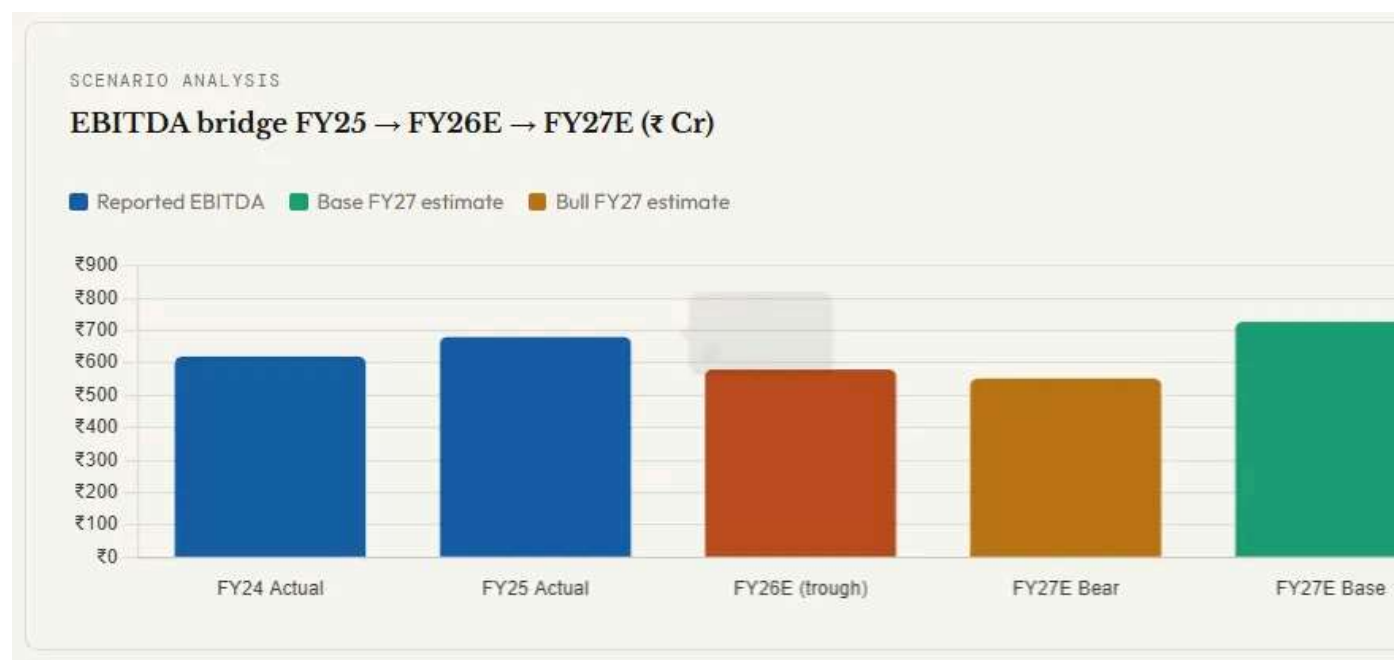
### Base case (normal recovery)



Revenue grows to around **₹2,800 crore** with EBITDA margins improving **~25.5%**, leading to EBITDA of **~₹714 crore**. If execution stabilises and the market returns to a normal valuation range, the stock can trade at **~11X EV/EBITDA** implying a **market cap of roughly ₹7,800–8,000 crore**.

This represents a potential return of **~68–73%** from current levels.

Here, CMS executes on SBI and PSU ramp-ups, margins revert to historical averages, and HAWKAI grows steadily — the stock moves back to a normal multiple band as confidence returns.



## Bull case (everything works)

Revenue reaches around **₹2,900 crore** with EBITDA margins of **~26.5%**, leading to EBITDA of **~₹769 crore**. If HAWKAI scales well, ATM transitions complete, market sentiment improves, the stock can trade at **~14X EV/EBITDA**, implying a **market cap of roughly ₹10,700–10,900 crore**.

Potential upside from current levels is **~131–135%+**.

This scenario assumes strong execution: faster ATM ramp-up, better contract mix, early HAWKAI wins, and operating leverage starting to kick in.

## Upside FY28- FY30 (full optionality)

Looking further out, assuming HAWKAI scales meaningfully and M&A a incremental growth, revenue could reach ₹3,100–3,200 crore by FY28 and 4000 by FY30 with EBITDA margins of ~27–28%.

The stock could then trade at 13–15X EV/EBITDA, implying a market cap of ₹11,000–13,500 crore, giving potential upside of ~138–200%+ from current level.



This reflects the full structural optionality : HAWKAI scaling, A consolidation, and margin expansion through operating leverage and a better contract mix.

The CMS opportunity is about execution and structural optionality, not just multiple expansion.

1. Bear scenario: small upside (~6–10%) if recovery disappoints.
2. Base scenario: solid recovery (~70%) with normalization of revenue and margins.
3. Bull scenario: strong execution could more than **double the stock**, reflecting faster ATM ramp and HAWKAI growth.
4. FY28 upside: full optionality could push returns to **~2.5X-3X current market cap**, showing how structural tailwinds compound over time.

*Note : Good returns can be generated by earnings growth and Multiple expansion. If market continues to value CMS as their legacy business the return expectations from stock can be significantly dropped from 25-30 % CAGR ( earnings + Multiple expansion) to 15-18% ( only earnings growth) over next few years. Optionality from AI and tech related business improving to larger mix can drive this shift , But when it will happen — is the real question ?*

*Note: I've shared secondary research on understanding the differences between recyclers and traditional ATMs, how this impacts CMS's business, the distinction between on-site and off-site ATMs, and several other key insights on Telegram. Click the "Ac more research " button below to read more.*

## 13. Risks & Challenges : Bear Case

No thesis is complete without stress-testing the assumptions. Here are the material risks — ranked by severity.

## **01. RFP Execution Delays (Again) - High Risk**

The SBI delay was the single biggest damage driver in FY26. If the next 3 b RFPs face similar delays or price renegotiations, the FY27 revenue bridge break

CMS has now tightened deployment norms — but they cannot control PSU b procurement timelines.

## **02. HAWKAI Faces Credible Competition - High Risk**

HAWKAI's moat is early-mover + field network. But at ₹3,000 Cr industry I size, large IT companies (*TCS, Infosys*) or specialised security firms could enter.

Smaller players are already present. CMS's physical network is the differentia — but tech can be commoditised faster than logistics.

## **03. Digital Payments Structural Shift - Medium Risk**

UPI transactions continue to grow. If ATM transaction volumes fall faster t expected, the revenue/cost math for low-utilisation ATMs deteriorates.

Management acknowledges ATM visits may fall from twice to once a month but outsourcing + pricing offsets this. Watch: interchange income trends at F banks.

## **04. MSP Ecosystem Stress Lingers - Medium Risk**

The AGS fallout tightened credit to mid-sized MSPs. ECL provision rising to 4.45% in FY26 (from 3.7% in FY25).

If more MSPs face distress, CMS could see further DSO elongation and revenue hits from service curtailments (as done in Q3).

## **05. Retail Segment : Low Margin, High Competition -Medium Risk**

Retail cash management has 4 competitors. CMS has 38% market share limited pricing power today.

The aggressive expansion required churning low-margin customers. Cross-sell HAWKAI is the margin improvement lever — but takes time. This is a 3-5 year build, not a 3-quarter fix.

## **06. Wage Inflation (LTS Cycle) : Lower Risk**

Long-term settlements (3-4 year cycle) were signed in FY26, causing a one-time wage step-up.

Management expects productivity gains to offset over time. The ESOP/bonus non-vesting in FY26 reversed ~₹12 Cr — this does not repeat in FY27, creating a mild base effect headwind.

# Final Thoughts — Mispriced compounder or a value trap in disguise

After going through the business model, the AGS-led industry reset, the growth triggers, and the valuation framework, my own takeaway is fairly simple:

**CMS Info Systems may be less of a "cash logistics company" and more of an underappreciated banking infrastructure partner.**

The core business remains **structurally strong and annuity-like**, supported by multi-year contracts, mission-critical cash management, ATM managed services, and a physical network moat that is extremely difficult to replicate.

Even in a world obsessed with UPI, this layer of India's banking infrastructure remains **non-discretionary**. That is where the market may still be underestimating the durability of the franchise.

The second important piece is that **FY26 pain appears more cyclical than structural**. Delayed contract transitions, temporary credit tightening after **AGS Transact Technologies** fallout, ATM rationalisation by private banks, softer rural demand all hit together, making the year look optically worse than underlying franchise quality.

The bigger question is whether this was simply the trough.

If the order book starts converting the way management expects, FY27 recovery may be driven by already contracted business rather than hopeful assumptions. And that is what makes the AGS collapse such an important long-term variable. This is not just a one-quarter market share gain. The insolvency of the industry

second-largest player may leave behind a multi-year consolidation tailwind, be pricing discipline, and deeper strategic relationships for the strongest survivor.

In that scenario, CMS becomes the natural prime beneficiary of industry consolidation. At current valuations, the market seems to be pricing a prolonged bear case where cash infrastructure permanently weakens.

The opportunity, therefore, is not about predicting perfection. It is about asking whether the base case is materially better than what today's price implies.

But this thesis works only if the execution bridge from FY26 pain to FY27 recovery actually holds.

That's where the anti-thesis deserves equal weight.

**The biggest risk remains RFP execution delays.**

FY26 already showed how a single PSU contract delay can damage the revenue bridge. If upcoming bank RFPs slip again, the recovery thesis weakens immediately.

The second key risk is **HAWKAI's competitive moat**. Its current strength comes from the combination of software + physical field network, but large IT player security firms could still attack this opportunity through partnerships and aggressive bidding.

A third structural risk is the one the market already fears:

**| What if digital payments shift faster than the contract cycle?**

Fixed-price agreements protect CMS during the contract term, but renewals could face pricing pressure if ATM usage declines materially faster than expected, especially in rural India.

So in the end, this is not a "CMS is definitely bullish" type conclusion.

It is a **risk-reward framework**. The real question is:

**At current prices, does the risk-reward justify the probability-weighted upside?**

That answer should come from your own assumptions on cash durability, revenue mix change, consolidation benefits, and earnings normalisation.

This newsletter is only a base research framework.

Your returns will ultimately depend on how you assign probabilities to recovery, disruption, execution, and valuation rerating. That independent judgment — my conclusion — should drive the final investment decision.

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*Because in investing, conviction matters — but probabilistic thinking matters even more.*

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*Ultimately, whether this is an investable opportunity depends on your risk appetite, and belief in the team's ability to execute.*

**Happy investing!**



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*With Love & optimism,*

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2. Management Interviews, Annual Presentations FY25 , Sectoral coverage reports by brokerage houses , Analyst Reports
3. This newsletter is Written based on data as per MARCH 2026. Consider crosschecking.



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## Discussion about this post

Comments Restacks



Write a comment...



**Manohar Vaidya** Manohar Vaidya 26 Apr

Liked by The Loggical Investor

As usual, excellent analysis - There are a few things that I find interesting - the hook of PPFAS is ( However, my analysis of PPFAS as a fund is that they are a fund house that buys

- 1.) Predictable business
- 2.) Downside safety margin is super important for this fund
- 3.) Aligns with their philosophy of limiting the loss is almost equivalent to turning profits.

They are a great fund house and their growth shows. So, the reason for PPFAS buying CMS is roc their philosophy. They are certainly not looking at it as a compounder stock.

Additionally, the 2 optionality items you note are excellent, but may not translate to any meaning addition or re-rating in the stock price. This stock is beaten down and if the next set of results are good, then 20-25% increase is possible, though not guaranteed

As always, you analysis is First Class - the fact that you've split your thesis into two parts is a testi to to the massive effort you've put in.

I generally give feedback very rarely - but when I do, I will also make sure the feedback is relevan least relevant from my perspective) :-)

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## 2 replies by The Loggical Investor and others



**sbkv12** 18 Jun

Liked by The Loggical Investor

Firstly great 2 part analysis. I found it very useful and it clarified a lot of my outstanding issues wi stock (Disclosure: i own the stock)

I was wondering if you have looked into Brinks acquiring NCR Atleos. Though it's not an India fo deal both of them have presence in India(and as far as I know NCR Atleos has significant operati deals with Indian banks). Considering both are mostly present in western economies they would looking for developing markets to diversify and find further growth avenues and India could be a in the future.

Rajeev Kaul was specifically asked this question during q4 earnings call but he said it's too early to comment.

Your thoughts on the same would be greatly appreciated.

Thanks and keep up the great work :)

Swaroop

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1

3 replies by The Loggical Investor and others

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